EXECUTIVE BRIEF · MAVUNO HOME & CARE · Q3 2026 VS Q3 2025

Revenue fell 10.7% — not because we lost customers, but because we lost trips

Prepared **2026-10-05** · Analysis by **Senior Data Analyst** · Internal — Commercial leadership

NET REVENUE	GROSS MARGIN	ORDERS PER CUSTOMER
KSh 43.65M	**18.57%**	**4.82**
-10.7% from KSh 48.86M in Q3 2025	**-1.38pp** gross profit KSh 8.04M	**-11.4%** the engine of the decline

The answer in one paragraph

Group net revenue fell KSh 5.21M (10.7%). We did not lose customers — active customers rose +5.5%. We lost trips (-11.4% orders per customer) and basket (-4.5% average order value), and 71% of the damage sits in two of six stores.

The four ranked, owned problems

#	Owner	The problem, in one line	Cost	Share
1	Supply Chain & Merchandising	Hero SKUs out of stock 6 weeks (Mombasa Nyali)	KSh -2.16M	41%
2	Retail Operations (Thika Road)	Thika Road footfall cut for the quarter	KSh -1.49M	29%
3	CRM / Loyalty & Assortment	Fewer trips and slimmer baskets chain-wide	KSh -0.97M	19%
4	Pricing & Category Management	Beverage discount depth deepened outside those stores	KSh -0.55M	11%

What the analysis found

1. We did not lose customers — we lost trips and basket size Active customers rose +5.5%, so acquisition is working. But orders per customer fell -11.4% and average order value fell -4.5%. The engine failed, not the funnel — and that single distinction changes who is accountable and what the fix is. *A funnel problem would be fixed in marketing. A frequency and basket problem is fixed in CRM, assortment and availability.*

2. Two of six stores carry 71% of the decline Mombasa Nyali (-27.0%) and Thika Road (-18.7%) are not a chain-wide trend. They are two local, separately-diagnosable events inside one quarter. *Treating this as a chain-wide trend would spread a thin fix across six stores instead of a targeted fix on two.*

3. The largest single cost has a date, a store and an owner Two hero Personal Care SKUs sat off the shelf at Mombasa Nyali for 76 days (9.5% shelf availability). It cost KSh 2.16M. Only KSh 0.45M of that is Personal Care revenue — KSh 1.71M is baskets that were never started. *Measuring only the affected category understates the event by roughly 4.8x. Availability failures are basket failures, not category failures.*

4. Discounting, not pricing, is the second lever List price per unit rose +4.3% while discount depth went from 4.80% to 7.82% of gross — roughly an extra KSh 1.43M given away in the quarter, concentrated in Beverages (+13.05pp). *Gross profit fell faster than revenue. Price rises are being handed straight back through promotions, so margin — not just revenue — is the thing at risk.*

5. Retention is healthy; the leak is trip frequency 4,410 of 5,265 Q3 2025 customers returned (83.8%), and 1,145 new customers arrived. Churn is not the problem — the people we keep are simply shopping less often. *Win-back for the 855 lapsed customers is worth doing, but the money is in raising frequency among the customers who already come back.*

What we recommend — owners, impact and review dates

#	Action	Owner	Expected gross-profit recovery	Review
1	Rebuild safety stock on the hero SKUs; qualify a second supplier	Supply Chain	KSh 0.28M – KSh 0.40M	2026-11-04 (+30d)
2	Rebuild the Mombasa basket: substitutes, adjacency, staff script	Merchandising	KSh 0.03M	2026-11-19 (+45d)
3	Thika Road access recovery with the landlord and county	Retail Operations	KSh 0.17M	2026-12-04 (+60d)
4	Cap beverage discount depth; gate approvals above 4.8%	Pricing & Category Management	KSh 0.27M	2026-10-26 (+21d)
5	Win back lapsed customers; nudge a second purchase	CRM / Loyalty	KSh 0.09M	2027-01-03 (+90d)
6	Capture a customer ID on every sale; log supplier lead times	Data / POS & Supply Chain	No direct revenue; removes both blind spots	2027-01-03 (next quarter)
	Total expected gross-profit recovery		KSh 0.85M – KSh 0.97M	

Impacts are gross-profit recovery, not revenue recovered. Volume, traffic and basket actions are converted at the blended Q3 FY2026 gross margin (18.57%); the pricing action is a discount stop, so it converts at near-full value rather than at margin. The capture rates (40-100% of each slice) are deliberately conservative. Together the register recovers about 52%-59%% of the KSh 1.63M of gross profit the quarter lost.

What would change this conclusion

0.76% of revenue carries no customer identifier (KSh 0.70M of anonymous walk-ins). Every segment-level conclusion therefore reconciles to 99.24% of revenue, not 100%. The reconciliation is shown as its own line rather than hidden in an 'Other' bucket. · The annualised figure is a stated run-rate (KSh -20.83M, the quarter's change x 4), not a forecast. It assumes the Mombasa Nyali incident does not repeat and ignores Q4 seasonality.